

PURCHASE ORDER APPROVAL SOP

Standard Operating Procedure | SOP No. SOP-POA-002 | Version 3.3

SOP Number:	SOP-POA-002
Version:	3.3
Effective Date:	August 30, 2024
Process Owner:	Stephen Goodwin (EMP-26652) — Senior Manager
Applicable System(s):	Audit Assistant Platform / ERP / Finance System

1. PURPOSE

This SOP defines the standardised process for purchase order approval to ensure consistency, control effectiveness, and audit traceability across all business units.

2. PROCESS FLOW

- Step 1:** Requesting employee submits PO request with item category and quantity
- Step 2:** System validates PO value against requester's delegated approval limit
- Step 3:** Route to approving manager if within limit; escalate if exceeded
- Step 4:** Approving manager reviews vendor compliance status before sign-off
- Step 5:** Approved PO is issued to vendor with reference contract_id if applicable
- Step 6:** PO status updated to PENDING, then DELIVERED upon goods receipt

3. ROLES AND RESPONSIBILITIES

Role	Responsibility
Risk Analyst	Performs periodic reconciliation and reporting
Department Head	Reviews and approves at designated control point
Procurement Analyst	Initiates and validates process inputs
Finance Manager	Initiates and validates process inputs

4. CONTROLS

This process incorporates the following key controls: (i) system-enforced validation against the Delegation of Authority Policy; (ii) mandatory documentation attachment prior to approval; (iii) periodic exception reporting to Internal Audit; and (iv) quarterly process effectiveness review.

5. EXCEPTION HANDLING

Any deviation from this SOP must be documented with justification and approved by Senior Manager or delegate. Exceptions are logged in the exception register and reviewed monthly by the Risk Committee. Repeated exceptions of the same type will trigger a process redesign review.

6. RELATED DOCUMENTS

This SOP should be read in conjunction with the Delegation of Authority Policy, the Internal Audit Charter, and the relevant functional policy governing this process area.